Q3 2026 Quarterly Review · Draft Memo for the CPA

Findings for the CPA from review procedures; not a review report and no conclusion.

Client	HANGS Construction Services LLC
Period	Quarter ended September 30, 2026, the first quarter of the fiscal year ending June 30, 2027
Engagement	Review procedures for the bonding company and the lender: inquiry and analytical procedures. Not an audit: nothing was confirmed, vouched or sampled.
Prepared from	8 files: the comparative trial balance, the interim statements and budget, the controller's written answers, the job schedule, the Q3 payroll ledger, and the bank's loan statement and covenants
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was posted or sent to the client, the bank or the bonding company.

Materiality and the Threshold, Proposed

Contract revenue for the quarter, the benchmark	$21,696,700.00
Materiality: 0.5% of revenue, rounded down	$100,000.00
Performance materiality: 75%	$75,000.00
Investigate a change over (and over 10%)	$50,000.00

What the Procedures Found

Procedure	What was found	Amount
Statements	The interim statements agree with the trial balance at both dates; the trial balance balances in all three columns	$21,696,700.00
Comparisons	Revenue up 13.2% on the prior quarter; gross margin down to 8.28% from 10.20%; net income against budget	($366,696.07)
Jobs	Revenue rebuilt job by job from the contract schedule agrees with the books to the cent	$0.00
Billing swing	Revenue ran ahead of billings by the whole swing, most of it Alder Point	$964,200.00
Margins	Tideflats Cold Storage earned this much less than its June margin after its estimate was revised (JOB-01)	$382,720.00
Change order	Revenue includes unsigned change order PCO-14 on Alder Point: a judgment above materiality (REV-01)	$259,200.00
Accrued wages	The increase ties to the payroll ledger: the September accrual covers more working days	$284,435.83
Interest	Recorded when the bank debits it; September is not accrued, contrary to the controller (INT-01, INQ-01)	$35,350.00
Covenants	Tangible net worth headroom, after leaving out what Juniper Ridge Partners owes; gone if PCO-14 is not counted (COV-01)	$129,999.00
Related party	The Juniper Ridge Partners job is built for Juniper Ridge Partners LLC, under the same owners; the statements have no related party note (RP-01)	$1,638,000.00

Signature: none. This memo is not a review report and expresses no conclusion. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted.

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Draft Review Memo

Against Materiality

Known misstatements, added up (INT-01, this quarter)	**$6,685.00**
Accrued interest missing from liabilities (INT-01)	$35,350.00
Judgment: PCO-14 in revenue (REV-01)	$259,200.00
Performance materiality	$75,000.00
Materiality	$100,000.00

What was done

The machine agreed the trial balance and tied the interim statements to it, compared the quarter with the prior quarter, the same quarter last year and the budget, and investigated every line that moved more than the threshold. It put each fluctuation to the controller in writing and corroborated the answers against the job schedule, the payroll ledger and the bank's loan statement. It recomputed the three loan covenants as the agreement defines them. No balance was confirmed with a third party, no invoice was vouched and nothing was sampled: this is a review, not an audit.

What the records support

Revenue and job costs rebuild exactly from the jobs; the billing swing and the retainage are explained; wages and accrued wages are the payroll ledger's; the drop in margin is one job's revised estimate, recorded as a change in estimate. The controller's answers on revenue, billings, margins, accrued wages, cash and the line agree with the records.

What the CPA decides before concluding

1. Whether PCO-14 can be counted in revenue yet (REV-01). 2. Then whether the net worth covenant is met and the loans stay long-term (COV-01). 3. Whether the client records the missing interest; passed otherwise (INT-01). 4. The related party disclosure for Juniper Ridge Partners (RP-01). 5. What the contradicted interest answer means for relying on the others (INQ-01). 6. The Tideflats estimate support (JOB-01). 7. The representation letter (REP-01).

What the machine does not do

It does not express a review conclusion, write the accountant's review report, sign anything or post an adjustment. Concluding is the CPA's job; the machine stops here.

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REVIEW FINDINGS · FOLLOW THE EVIDENCE

Materiality · Contract Revenue, the Benchmark

$21,696,700.00

Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

Planning!B16 = $21,696,700.00

=B15

Planning!B15 = $21,696,700.00

=-('E01 Income Accounts'!D8+'E01 Income Accounts'!D9)

E01 Income Accounts!D8 = ($20,042,950.00)

E01 Income Accounts!D9 = ($1,653,750.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Income Accounts!D8, Income Accounts!D9

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Original documents are attached to this PDF. The workbook is attached too.

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Materiality · Materiality, Proposed

$100,000.00

Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

Planning!B17 = $100,000.00

=ROUNDDOWN(B16*B22/10000,0)*10000

Planning!B16 = $21,696,700.00

=B15

Planning!B15 = $21,696,700.00

=-('E01 Income Accounts'!D8+'E01 Income Accounts'!D9)

E01 Income Accounts!D8 = ($20,042,950.00)

E01 Income Accounts!D9 = ($1,653,750.00)

Planning!B22 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Income Accounts!D8, Income Accounts!D9

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Original documents are attached to this PDF. The workbook is attached too.

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Materiality · Performance Materiality

$75,000.00

Workbook: Planning!B18

Draft figure · the CPA reviews and concludes

Planning!B18 = $75,000.00

=ROUND(B17*0.75,2)

Planning!B17 = $100,000.00

=ROUNDDOWN(B16*B22/10000,0)*10000

Planning!B16 = $21,696,700.00

=B15

Planning!B15 = $21,696,700.00

=-('E01 Income Accounts'!D8+'E01 Income Accounts'!D9)

E01 Income Accounts!D8 = ($20,042,950.00)

E01 Income Accounts!D9 = ($1,653,750.00)

Planning!B22 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Income Accounts!D8, Income Accounts!D9

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REVIEW FINDINGS · FOLLOW THE EVIDENCE

Materiality · Threshold for Investigating a Change

$50,000.00

Workbook: Planning!B20

Draft figure · the CPA reviews and concludes

Planning!B20 = $50,000.00

=ROUND(B17*0.5,2)

Planning!B17 = $100,000.00

=ROUNDDOWN(B16*B22/10000,0)*10000

Planning!B16 = $21,696,700.00

=B15

Planning!B15 = $21,696,700.00

=-('E01 Income Accounts'!D8+'E01 Income Accounts'!D9)

E01 Income Accounts!D8 = ($20,042,950.00)

E01 Income Accounts!D9 = ($1,653,750.00)

Planning!B22 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Income Accounts!D8, Income Accounts!D9

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Original documents are attached to this PDF. The workbook is attached too.

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Comparisons · Revenue, Change From the Prior Quarter

$2,536,300.00

Workbook: Analytics!F8

Draft figure · the CPA reviews and concludes

Analytics!F8 = $2,536,300.00

=B8-C8

Analytics!B8 = $21,696,700.00

=-('E01 Income Accounts'!D8+'E01 Income Accounts'!D9)

E01 Income Accounts!D8 = ($20,042,950.00)

E01 Income Accounts!D9 = ($1,653,750.00)

Analytics!C8 = $19,160,400.00

=-('E01 Income Accounts'!E8+'E01 Income Accounts'!E9)

E01 Income Accounts!E8 = ($19,099,150.00)

E01 Income Accounts!E9 = ($61,250.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Income Accounts!D8, Income Accounts!D9, Income Accounts!E8, Income Accounts!E9

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Original documents are attached to this PDF. The workbook is attached too.

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Comparisons · Net Income Against Budget ($366,696.07)

Workbook: Analytics!I14

Draft figure · the CPA reviews and concludes

Analytics!I14 = ($366,696.07)

=B14-E14

Analytics!B14 = $205,803.93

=B12-B13

Analytics!B12 = $297,259.43

=B10-B11

Analytics!B10 = $1,797,327.50

=B8-B9

Analytics!B8 = $21,696,700.00

=-('E01 Income Accounts'!D8+'E01 Income Accounts'!D9)

E01 Income Accounts!D8 = ($20,042,950.00)

E01 Income Accounts!D9 = ($1,653,750.00)

Analytics!B9 = $19,899,372.50

=('E01 Income Accounts'!D10+'E01 Income Accounts'!D11+'E01 Income Accounts'!D12+'E01 Income Accounts'!D13+'E01 Income Accounts'!D14+'E01 Income Accounts'!D15)

E01 Income Accounts!D10 = $12,185,183.67

E01 Income Accounts!D11 = $2,239,385.83

E01 Income Accounts!D12 = $4,184,250.00

E01 Income Accounts!D13 = $541,093.00

E01 Income Accounts!D14 = $436,820.00

E01 Income Accounts!D15 = $312,640.00

Analytics!B11 = $1,500,068.07

=('E01 Income Accounts'!D16+'E01 Income Accounts'!D17+'E01 Income Accounts'!D18+'E01 Income Accounts'!D19+'E01 Income Accounts'!D20+'E01 Income Accounts'!D21)

E01 Income Accounts!D16 = $726,137.98

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Income Accounts!D8, Income Accounts!D9, Income Accounts!D10, Income Accounts!D11, Income Accounts!D12, Income Accounts!D13

01 Client Accounting/FY2027 operating budget.xlsx · Budget by Quarter!C8, Budget by Quarter!C9, Budget by Quarter!C10, Budget by Quarter!C11, Budget by Quarter!C12, Budget by Quarter!C13

Original documents are attached to this PDF. The workbook is attached too.

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REVIEW FINDINGS · FOLLOW THE EVIDENCE

Jobs · Revenue Rebuilt From the Jobs

$21,696,700.00

Workbook: Jobs!B25

Draft figure · the CPA reviews and concludes

Jobs!B25 = $21,696,700.00

=B15-B23

Jobs!B15 = $44,004,950.00

=SUM(B8:B14)

Jobs!B8 = $20,898,000.00

=ROUND('E05 Job Schedule'!F8*'E05 Job Schedule'!I8/'E05 Job Schedule'!G8,2)

E05 Job Schedule!F8 = $48,600,000.00

E05 Job Schedule!I8 = $19,017,180.00

E05 Job Schedule!G8 = $44,226,000.00

Jobs!B9 = $12,915,450.00

=ROUND('E05 Job Schedule'!F9*'E05 Job Schedule'!I9/'E05 Job Schedule'!G9,2)

E05 Job Schedule!F9 = $31,890,000.00

E05 Job Schedule!I9 = $11,623,905.00

E05 Job Schedule!G9 = $28,701,000.00

Jobs!B10 = $5,888,000.00

=ROUND('E05 Job Schedule'!F10*'E05 Job Schedule'!I10/'E05 Job Schedule'!G10,2)

E05 Job Schedule!F10 = $18,400,000.00

E05 Job Schedule!I10 = $5,593,600.00

E05 Job Schedule!G10 = $17,480,000.00

Jobs!B11 = $1,930,500.00

=ROUND('E05 Job Schedule'!F11*'E05 Job Schedule'!I11/'E05 Job Schedule'!G11,2)

E05 Job Schedule!F11 = $5,850,000.00

E05 Job Schedule!I11 = $1,737,450.00

E05 Job Schedule!G11 = $5,265,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Jobs/September 30 2026 contract schedule.xlsx · Sep 30 2026!F8, Sep 30 2026!I8, Sep 30 2026!G8, Sep 30 2026!F9, Sep 30 2026!I9, Sep 30 2026!G9

Original documents are attached to this PDF. The workbook is attached too.

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REVIEW FINDINGS · FOLLOW THE EVIDENCE

Jobs · Revenue From the Jobs Less the Books

$0.00

Workbook: Jobs!B27

Draft figure · the CPA reviews and concludes

Jobs!B27 = $0.00

=B25-B26

Jobs!B25 = $21,696,700.00

=B15-B23

Jobs!B15 = $44,004,950.00

=SUM(B8:B14)

Jobs!B8 = $20,898,000.00

=ROUND('E05 Job Schedule'!F8*'E05 Job Schedule'!I8/'E05 Job Schedule'!G8,2)

E05 Job Schedule!F8 = $48,600,000.00

E05 Job Schedule!I8 = $19,017,180.00

E05 Job Schedule!G8 = $44,226,000.00

Jobs!B9 = $12,915,450.00

=ROUND('E05 Job Schedule'!F9*'E05 Job Schedule'!I9/'E05 Job Schedule'!G9,2)

E05 Job Schedule!F9 = $31,890,000.00

E05 Job Schedule!I9 = $11,623,905.00

E05 Job Schedule!G9 = $28,701,000.00

Jobs!B10 = $5,888,000.00

=ROUND('E05 Job Schedule'!F10*'E05 Job Schedule'!I10/'E05 Job Schedule'!G10,2)

E05 Job Schedule!F10 = $18,400,000.00

E05 Job Schedule!I10 = $5,593,600.00

E05 Job Schedule!G10 = $17,480,000.00

Jobs!B11 = $1,930,500.00

=ROUND('E05 Job Schedule'!F11*'E05 Job Schedule'!I11/'E05 Job Schedule'!G11,2)

E05 Job Schedule!F11 = $5,850,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Jobs/September 30 2026 contract schedule.xlsx · Sep 30 2026!F8, Sep 30 2026!I8, Sep 30 2026!G8, Sep 30 2026!F9, Sep 30 2026!I9, Sep 30 2026!G9

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Income Accounts!D8, Income Accounts!D9

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REVIEW FINDINGS · FOLLOW THE EVIDENCE

Billings · Revenue Ahead of Billings

$964,200.00

Workbook: Billings!B19

Draft figure · the CPA reviews and concludes

Billings!B19 = $964,200.00

=B18-B17

Billings!B18 = $21,696,700.00

='Jobs'!B25

Jobs!B25 = $21,696,700.00

=B15-B23

Jobs!B15 = $44,004,950.00

=SUM(B8:B14)

Jobs!B8 = $20,898,000.00

=ROUND('E05 Job Schedule'!F8*'E05 Job Schedule'!I8/'E05 Job Schedule'!G8,2)

E05 Job Schedule!F8 = $48,600,000.00

E05 Job Schedule!I8 = $19,017,180.00

E05 Job Schedule!G8 = $44,226,000.00

Jobs!B9 = $12,915,450.00

=ROUND('E05 Job Schedule'!F9*'E05 Job Schedule'!I9/'E05 Job Schedule'!G9,2)

E05 Job Schedule!F9 = $31,890,000.00

E05 Job Schedule!I9 = $11,623,905.00

E05 Job Schedule!G9 = $28,701,000.00

Jobs!B10 = $5,888,000.00

=ROUND('E05 Job Schedule'!F10*'E05 Job Schedule'!I10/'E05 Job Schedule'!G10,2)

E05 Job Schedule!F10 = $18,400,000.00

E05 Job Schedule!I10 = $5,593,600.00

E05 Job Schedule!G10 = $17,480,000.00

Jobs!B11 = $1,930,500.00

=ROUND('E05 Job Schedule'!F11*'E05 Job Schedule'!I11/'E05 Job Schedule'!G11,2)

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Jobs/September 30 2026 contract schedule.xlsx · Sep 30 2026!F8, Sep 30 2026!I8, Sep 30 2026!G8, Sep 30 2026!F9, Sep 30 2026!I9, Sep 30 2026!G9

Original documents are attached to this PDF. The workbook is attached too.

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REVIEW FINDINGS · FOLLOW THE EVIDENCE

Billings · Retainage at 5% of Billings

$2,197,750.00

Workbook: Billings!B23

Draft figure · the CPA reviews and concludes

Billings!B23 = $2,197,750.00

=ROUND(B22*B25,2)

Billings!B22 = $43,955,000.00

='E05 Job Schedule'!L15

E05 Job Schedule!L15 = $43,955,000.00

Billings!B25 = 5.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Jobs/September 30 2026 contract schedule.xlsx · Sep 30 2026!L15

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Original documents are attached to this PDF. The workbook is attached too.

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Margins · Gross Profit at June 30 Margins

$2,180,047.50

Workbook: Margins!E15

Draft figure · the CPA reviews and concludes

Margins!E15 = $2,180,047.50

=SUM(E8:E13)

Margins!E8 = $661,140.00

=ROUND(B8*G8,2)

Margins!B8 = $7,346,000.00

='Jobs'!B8-'Jobs'!B17

Jobs!B8 = $20,898,000.00

=ROUND('E05 Job Schedule'!F8*'E05 Job Schedule'!I8/'E05 Job Schedule'!G8,2)

E05 Job Schedule!F8 = $48,600,000.00

E05 Job Schedule!I8 = $19,017,180.00

E05 Job Schedule!G8 = $44,226,000.00

Jobs!B17 = $13,552,000.00

=ROUND('E05 Jun 30 2026'!F8*'E05 Jun 30 2026'!I8/'E05 Jun 30 2026'!G8,2)

E05 Jun 30 2026!F8 = $48,400,000.00

E05 Jun 30 2026!I8 = $12,332,320.00

E05 Jun 30 2026!G8 = $44,044,000.00

Margins!G8 = 9.000%

=ROUND(('E05 Jun 30 2026'!F8-'E05 Jun 30 2026'!G8)/'E05 Jun 30 2026'!F8,6)

Margins!E9 = $635,295.00

=ROUND(B9*G9,2)

Margins!B9 = $6,352,950.00

='Jobs'!B9-'Jobs'!B18

Jobs!B9 = $12,915,450.00

=ROUND('E05 Job Schedule'!F9*'E05 Job Schedule'!I9/'E05 Job Schedule'!G9,2)

E05 Job Schedule!F9 = $31,890,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Jobs/September 30 2026 contract schedule.xlsx · Sep 30 2026!F8, Sep 30 2026!I8, Sep 30 2026!G8, Jun 30 2026!F8, Jun 30 2026!I8, Jun 30 2026!G8

Original documents are attached to this PDF. The workbook is attached too.

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REVIEW FINDINGS · FOLLOW THE EVIDENCE

Margins · Tideflats Below Its June Margin (JOB-01)

$382,720.00

Workbook: Margins!B21

Draft figure · the CPA reviews and concludes

Margins!B21 = $382,720.00
=-F10

Margins!F10 = ($382,720.00)
=D10-E10

Margins!D10 = $82,800.00
=B10-C10

Margins!B10 = $4,048,000.00
='Jobs'!B10-'Jobs'!B19

Jobs!B10 = $5,888,000.00
=ROUND('E05 Job Schedule'!F10*'E05 Job Schedule'!I10/'E05 Job Schedule'!G10,2)

E05 Job Schedule!F10 = $18,400,000.00

E05 Job Schedule!I10 = $5,593,600.00

E05 Job Schedule!G10 = $17,480,000.00

Jobs!B19 = $1,840,000.00
=ROUND('E05 Jun 30 2026'!F10*'E05 Jun 30 2026'!I10/'E05 Jun 30 2026'!G10,2)

E05 Jun 30 2026!F10 = $18,400,000.00

E05 Jun 30 2026!I10 = $1,628,400.00

E05 Jun 30 2026!G10 = $16,284,000.00

Margins!C10 = $3,965,200.00
='E05 Job Schedule'!I10-'E05 Jun 30 2026'!I10

Margins!E10 = $465,520.00
=ROUND(B10*G10,2)

Margins!G10 = 11.500%
=ROUND(('E05 Jun 30 2026'!F10-'E05 Jun 30 2026'!G10)/'E05 Jun 30 2026'!F10,6)

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 Jobs/September 30 2026 contract schedule.xlsx · Sep 30 2026!F10, Sep 30 2026!I10, Sep 30 2026!G10, Jun 30 2026!F10, Jun 30 2026!I10, Jun 30 2026!G10

Original documents are attached to this PDF. The workbook is attached too.

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REVIEW FINDINGS · FOLLOW THE EVIDENCE

Margins · PCO-14 in Revenue (REV-01)

$259,200.00

Workbook: Margins!B23

Draft figure · the CPA reviews and concludes

Margins!B23 = $259,200.00

=ROUND('E05 Job Schedule'!E9*'E05 Job Schedule'!I9/'E05 Job Schedule'!G9,2)

E05 Job Schedule!E9 = $640,000.00

E05 Job Schedule!I9 = $11,623,905.00

E05 Job Schedule!G9 = $28,701,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Jobs/September 30 2026 contract schedule.xlsx · Sep 30 2026!E9, Sep 30 2026!I9, Sep 30 2026!G9

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Related Party · Juniper Ridge Partners Revenue for the Quarter (RP-01)

$1,638,000.00

Workbook: Margins!B11

Draft figure · the CPA reviews and concludes

Margins!B11 = $1,638,000.00

='Jobs'!B11-'Jobs'!B20

Jobs!B11 = $1,930,500.00

=ROUND('E05 Job Schedule'!F11*'E05 Job Schedule'!I11/'E05 Job Schedule'!G11,2)

E05 Job Schedule!F11 = $5,850,000.00

E05 Job Schedule!I11 = $1,737,450.00

E05 Job Schedule!G11 = $5,265,000.00

Jobs!B20 = $292,500.00

=ROUND('E05 Jun 30 2026'!F11*'E05 Jun 30 2026'!I11/'E05 Jun 30 2026'!G11,2)

E05 Jun 30 2026!F11 = $5,850,000.00

E05 Jun 30 2026!I11 = $263,250.00

E05 Jun 30 2026!G11 = $5,265,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Jobs/September 30 2026 contract schedule.xlsx · Sep 30 2026!F11, Sep 30 2026!I11, Sep 30 2026!G11, Jun 30 2026!F11, Jun 30 2026!I11, Jun 30 2026!G11

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Original documents are attached to this PDF. The workbook is attached too.

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Payroll · Increase in Accrued Wages

$284,435.83

Workbook: Payroll!B14

Draft figure · the CPA reviews and concludes

Payroll!B14 = $284,435.83

=B13-B12

Payroll!B13 = $598,629.52

=-'E01 Trial Balance'!D19

E01 Trial Balance!D19 = ($598,629.52)

Payroll!B12 = $314,193.69

=-'E01 Trial Balance'!E19

E01 Trial Balance!E19 = ($314,193.69)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Balance Sheet Accounts!D19, Balance Sheet Accounts!E19

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Interest · Interest Expected From the Loans

$98,140.50

Workbook: Interest!E15

Draft figure · the CPA reviews and concludes

Interest!E15 = $98,140.50

=SUM(E8:E14)

Interest!E8 = $17,241.17

=ROUND((B8*D8)*C8/'E08 Covenants'!B14,2)

Interest!B8 = $2,820,000.00

='E07 Loan Statement'!D10

E07 Loan Statement!D10 = $2,820,000.00

Interest!D8 = $31.00

Interest!C8 = 7.100%

='E08 Covenants'!B11

E08 Covenants!B11 = $0.07

E08 Covenants!B14 = $360.00

Interest!E9 = $16,874.33

=ROUND((B9*D9)*C9/'E08 Covenants'!B14,2)

Interest!B9 = $2,760,000.00

='E07 Loan Statement'!D11

E07 Loan Statement!D11 = $2,760,000.00

Interest!D9 = $31.00

Interest!C9 = 7.100%

='E08 Covenants'!B11

Interest!E10 = $15,975.00

=ROUND((B10*D10)*C10/'E08 Covenants'!B14,2)

Interest!B10 = $2,700,000.00

='E07 Loan Statement'!D12

E07 Loan Statement!D12 = $2,700,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Debt/Cinderbrook Bank loan statement September 2026.pdf · PDF page 1; term loan and line of credit activity, balances and the interest accrued for September

05 Debt/Cinderbrook Bank loan agreement covenants.pdf · PDF page 1; section 7 financial covenants, interest terms and definitions

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Interest · Interest Expense Understated (INT-01)

$6,685.00

Workbook: Interest!E17

Draft figure · the CPA reviews and concludes

Interest!E17 = $6,685.00

=E15-E16

Interest!E15 = $98,140.50

=SUM(E8:E14)

Interest!E8 = $17,241.17

=ROUND((B8*D8)*C8/'E08 Covenants'!B14,2)

Interest!B8 = $2,820,000.00

='E07 Loan Statement'!D10

E07 Loan Statement!D10 = $2,820,000.00

Interest!D8 = $31.00

Interest!C8 = 7.100%

='E08 Covenants'!B11

E08 Covenants!B11 = $0.07

E08 Covenants!B14 = $360.00

Interest!E9 = $16,874.33

=ROUND((B9*D9)*C9/'E08 Covenants'!B14,2)

Interest!B9 = $2,760,000.00

='E07 Loan Statement'!D11

E07 Loan Statement!D11 = $2,760,000.00

Interest!D9 = $31.00

Interest!C9 = 7.100%

='E08 Covenants'!B11

Interest!E10 = $15,975.00

=ROUND((B10*D10)*C10/'E08 Covenants'!B14,2)

Interest!B10 = $2,700,000.00

='E07 Loan Statement'!D12

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Debt/Cinderbrook Bank loan statement September 2026.pdf · PDF page 1; term loan and line of credit activity, balances and the interest accrued for September

05 Debt/Cinderbrook Bank loan agreement covenants.pdf · PDF page 1; section 7 financial covenants, interest terms and definitions

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Income Accounts!D22

Original documents are attached to this PDF. The workbook is attached too.

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REVIEW FINDINGS · FOLLOW THE EVIDENCE

Interest · September Interest Not Accrued (INT-01)

$35,350.00

Workbook: Interest!E19

Draft figure · the CPA reviews and concludes

Interest!E19 = $35,350.00

='E07 Loan Statement'!B15+'E07 Loan Statement'!B26

E07 Loan Statement!B15 = $15,975.00

E07 Loan Statement!B26 = $19,375.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Debt/Cinderbrook Bank loan statement September 2026.pdf · PDF page 1; term loan and line of credit activity, balances and the interest accrued for September

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Covenants · Tangible Net Worth

$6,629,999.00

Workbook: Covenants!B13

Draft figure · the CPA reviews and concludes

Covenants!B13 = $6,629,999.00

=B11-B12

Covenants!B11 = $7,345,499.00

='E02 Statements'!B27

E02 Statements!B27 = $7,345,499.00

Covenants!B12 = $715,500.00

='E01 Trial Balance'!D11+ROUND('E05 Job Schedule'!L11*'Billings'!B25,2)+'Billings'!D11

E01 Trial Balance!D11 = $571,000.00

E05 Job Schedule!L11 = $1,880,000.00

Billings!B25 = 5.000%

Billings!D11 = $50,500.00

=B11-C11

Billings!B11 = $1,930,500.00

='Jobs'!B11

Jobs!B11 = $1,930,500.00

=ROUND('E05 Job Schedule'!F11*'E05 Job Schedule'!I11/'E05 Job Schedule'!G11,2)

E05 Job Schedule!F11 = $5,850,000.00

E05 Job Schedule!I11 = $1,737,450.00

E05 Job Schedule!G11 = $5,265,000.00

Billings!C11 = $1,880,000.00

='E05 Job Schedule'!L11

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 interim financial statements.pdf · PDF page 1; balance sheet at September 30 and June 30, 2026, income for the quarter and a year earlier, notes

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Balance Sheet Accounts!D11

03 Jobs/September 30 2026 contract schedule.xlsx · Sep 30 2026!L11, Sep 30 2026!F11, Sep 30 2026!I11, Sep 30 2026!G11

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Covenants · Net Worth Headroom (COV-01)

$129,999.00

Workbook: Covenants!B15

Draft figure · the CPA reviews and concludes

Covenants!B15 = $129,999.00

=D13

Covenants!D13 = $129,999.00

=B13-C13

Covenants!B13 = $6,629,999.00

=B11-B12

Covenants!B11 = $7,345,499.00

='E02 Statements'!B27

E02 Statements!B27 = $7,345,499.00

Covenants!B12 = $715,500.00

='E01 Trial Balance'!D11+ROUND('E05 Job Schedule'!L11*'Billings'!B25,2)+'Billings'!D11

E01 Trial Balance!D11 = $571,000.00

E05 Job Schedule!L11 = $1,880,000.00

Billings!B25 = 5.000%

Billings!D11 = $50,500.00

=B11-C11

Billings!B11 = $1,930,500.00

='Jobs'!B11

Jobs!B11 = $1,930,500.00

=ROUND('E05 Job Schedule'!F11*'E05 Job Schedule'!I11/'E05 Job Schedule'!G11,2)

E05 Job Schedule!F11 = $5,850,000.00

E05 Job Schedule!I11 = $1,737,450.00

E05 Job Schedule!G11 = $5,265,000.00

Billings!C11 = $1,880,000.00

='E05 Job Schedule'!L11

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 interim financial statements.pdf · PDF page 1; balance sheet at September 30 and June 30, 2026, income for the quarter and a year earlier, notes

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Balance Sheet Accounts!D11

03 Jobs/September 30 2026 contract schedule.xlsx · Sep 30 2026!L11, Sep 30 2026!F11, Sep 30 2026!I11, Sep 30 2026!G11

05 Debt/Cinderbrook Bank loan agreement covenants.pdf · PDF page 1; section 7 financial covenants, interest terms and definitions

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

REVIEW FINDINGS · FOLLOW THE EVIDENCE

Covenants · Net Worth After PCO-14 and INT-01

$6,335,449.00

Workbook: Covenants!B19

Draft figure · the CPA reviews and concludes

Covenants!B19 = $6,335,449.00

=B13-B17-B18

Covenants!B13 = $6,629,999.00

=B11-B12

Covenants!B11 = $7,345,499.00

='E02 Statements'!B27

E02 Statements!B27 = $7,345,499.00

Covenants!B12 = $715,500.00

='E01 Trial Balance'!D11+ROUND('E05 Job Schedule'!L11*'Billings'!B25,2)+'Billings'!D11

E01 Trial Balance!D11 = $571,000.00

E05 Job Schedule!L11 = $1,880,000.00

Billings!B25 = 5.000%

Billings!D11 = $50,500.00

=B11-C11

Billings!B11 = $1,930,500.00

='Jobs'!B11

Jobs!B11 = $1,930,500.00

=ROUND('E05 Job Schedule'!F11*'E05 Job Schedule'!I11/'E05 Job Schedule'!G11,2)

E05 Job Schedule!F11 = $5,850,000.00

E05 Job Schedule!I11 = $1,737,450.00

E05 Job Schedule!G11 = $5,265,000.00

Billings!C11 = $1,880,000.00

='E05 Job Schedule'!L11

Covenants!B17 = $259,200.00

='Margins'!B23

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 interim financial statements.pdf · PDF page 1; balance sheet at September 30 and June 30, 2026, income for the quarter and a year earlier, notes

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Balance Sheet Accounts!D11

03 Jobs/September 30 2026 contract schedule.xlsx · Sep 30 2026!L11, Sep 30 2026!F11, Sep 30 2026!I11, Sep 30 2026!G11, Sep 30 2026!E9, Sep 30 2026!I9

Original documents are attached to this PDF. The workbook is attached too.

05 Debt/Cinderbrook Bank loan statement September 2026.pdf · PDF page 1; term loan and line of credit activity, balances and the interest accrued for September

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REVIEW FINDINGS · FOLLOW THE EVIDENCE

Adjustments · Known Misstatements, Added Up

$6,685.00

Workbook: Adjustments!B11

Draft figure · the CPA reviews and concludes

Adjustments!B11 = $6,685.00

=B8

Adjustments!B8 = $6,685.00

='Interest'!E17

Interest!E17 = $6,685.00

=E15-E16

Interest!E15 = $98,140.50

=SUM(E8:E14)

Interest!E8 = $17,241.17

=ROUND((B8*D8)*C8/'E08 Covenants'!B14,2)

Interest!B8 = $2,820,000.00

='E07 Loan Statement'!D10

E07 Loan Statement!D10 = $2,820,000.00

Interest!D8 = $31.00

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='E08 Covenants'!B11

E08 Covenants!B11 = $0.07

E08 Covenants!B14 = $360.00

Interest!E9 = $16,874.33

=ROUND((B9*D9)*C9/'E08 Covenants'!B14,2)

Interest!B9 = $2,760,000.00

='E07 Loan Statement'!D11

E07 Loan Statement!D11 = $2,760,000.00

Interest!D9 = $31.00

Interest!C9 = 7.100%

='E08 Covenants'!B11

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Debt/Cinderbrook Bank loan statement September 2026.pdf · PDF page 1; term loan and line of credit activity, balances and the interest accrued for September

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01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Income Accounts!D22

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WHAT STILL NEEDS A PERSON

REV-01 · $259,200.00: Alder Point's schedule counts pending change order PCO-14, $640,000.00 for the MRI suite shielding redesign, submitted August 28 and not signed by the owner. It adds $259,200.00 to the quarter's revenue and gross profit, 259% of materiality. Revenue from an unapproved change order may be counted only when it is probable that a significant reversal will not occur. The CPA reads the change order, the owner's and architect's correspondence and the history of approvals on this owner, and decides. The machine counts nothing either way.

INT-01 · $6,685.00: Interest is recorded when Cinderbrook Bank debits it, not as it accrues. September's interest, $35,350.00 on the bank's statement, is not in the books, and June's $28,665.00 was recorded in July. Expense for the quarter is understated $6,685.00, 6.7% of materiality, and accrued interest by $35,350.00. Proposed: debit interest expense $6,685.00 and shareholders' equity $28,665.00 (June's interest, a correction of FY2026, if the CPA treats it so), credit 2410 accrued interest $35,350.00. Under performance materiality: passed if the client declines. The machine never posts.

COV-01 · $129,999.00: Tangible net worth as the loan agreement defines it is $6,629,999.00, $129,999.00 above the $6,500,000 minimum, after leaving out $715,500.00 due from Juniper Ridge Partners, an affiliate. With INT-01 recorded and PCO-14 left out it would be $6,335,449.00, short by $164,551.00: an event of default unless the bank waives it, which could make the line of credit and the term loan current. Working capital $4,789,499.00 and leverage 2.46 to 1 stay within their limits either way. The controller says the certificate goes to the bank by November 14 (Q11). The CPA decides REV-01 first, then the covenant and the debt classification.

RP-01 · $1,638,000.00: The Juniper Ridge Partners job (J-2625), nine flex units, is built for Juniper Ridge Partners LLC, a commercial developer under the same owners, building flex industrial units on land it owns (Q7). It earned $1,638,000.00 of revenue in the quarter, and $715,500.00 is due from it in receivables, retainage and underbillings. The interim statements fold it into contract receivables and have no related party note. The CPA decides the disclosure; the bonding company and the lender read these statements.

JOB-01 · $382,720.00: Tideflats Cold Storage's estimate rose from $16,284,000.00 to $17,480,000.00 (14 tilt-up panels recast, a 9% panel price increase; Q3). The cumulative effect, $382,720.00 below the June margin, is in this quarter, which is how a change in estimate is recorded. The job still expects a profit, so no loss provision. The backcharge against the precaster is not recorded, which is right while it is only a claim. The CPA reads the revised estimate and the recast quotes.

INQ-01: The controller answered in writing that interest on both loans is accrued monthly (Q5). The bank's statement and the books show it is not. Every other answer was corroborated by a record. The CPA considers what this means for relying on the answers and asks how the controller closes the quarter.

SUB-01 · $500,000.00: After the quarter, HGC drew a further $500,000.00 on the line of credit on October 9 and started Lakeside Clinic (Q9). Neither changes the September 30 figures; the CPA decides whether the statements should mention the borrowing.

MAT-01 · $100,000.00: Materiality is proposed at $100,000.00, 0.5% of the quarter's revenue, with performance materiality $75,000.00, clearly trivial $5,000.00 and a $50,000.00 threshold for investigating a change. The engagement partner sets the final amounts.

REP-01: No management representation letter has been obtained. A review needs one, dated near the date of the CPA's report, covering the answers relied on here.

DRAFT FOR THE CPA

WHAT STILL NEEDS A PERSON, CONTINUED

SIGN-01: These are draft workpapers and a draft review memo for the engagement partner. They are not a review report and express no conclusion. Nothing has been signed, posted or sent to the client, the bank or the bonding company.

This memo is a draft for the engagement partner. It is not a review report and expresses no conclusion; nothing has been signed, posted or sent.

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